BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

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Prepared Testimony of:

Information Technology Panel


Kamran Ziaee
4 Irving Place
New York, New York, 10003

Joseph Miller
4 Irving Place
New York, New York, 10003

Shakira Wilson
4 Irving Place
New York, New York, 10003

Jeannine Haggerty
4 Irving Place
New York, New York, 10003

Allisyn Glasser
4 Irving Place
New York, New York, 10003

Michael Murphy
31-01 20th Ave.
Astoria, New York, 11105

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
INFORMATION TECHNOLOGY PANEL


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## INTRODUCTION

Q. Would the members of the Information Technology (IT) Panel (Panel) please state your name and business address?

A. Our names are Kamran Ziaee, Joseph Miller, Shakira Wilson, Jeannine Haggerty, Allisyn Glasser, and Michael Murphy. Our business address is 4 Irving Place, New York, NY 10003.

Q. By whom are the Panel members employed?

A. We are employed by Consolidated Edison Company of New York, Inc. (Con Edison or the Company).

Q. Please describe your work experience (i.e., your current title and general responsibilities, work experience, and educational background).

A. **(Ziaee)** I am the Chief Information Officer (CIO). As the CIO, I am responsible for business solutions delivery, technology infrastructure, digital transformation, data governance and analytics, cybersecurity, and corporate security. Prior to joining Con Edison in December 2024, I served as the senior vice president of Technology Strategy, Global Infrastructure and Security at Verizon Communications and CIO of Lumen Technology (previously Century Link). I have an undergraduate degree in Mathematics and a Master's degree in industrial and systems

engineering from The Ohio State University. I also have an MBA from New York Institute of Technology.

**(Miller**) I am the Vice President and Controller. In this position, I am the Company's chief accounting officer with the overall responsibility for the development and maintenance of the Company's financial accounting records. I began my employment with Con Edison in July 1984 as a Management Intern. I worked in the Corporate Accounting Department from July 1985 until January 2001 primarily between the Accounting Research and Procedures and the General Accounts sections starting as a Staff Accountant, then Supervisor and ultimately reaching the Department Manager level in both sections. In 2001, I worked as a Department Manager within the Corporate Planning Department and then in 2002, I became the Department Manager of our Financial Reporting section. In 2004, I became an Assistant Controller and then a Director of Treasury's Risk Management section. From 2006 through 2012, I was an Assistant Controller for the Financial Reporting Sections. From 2013 through 2017, I was the Assistant Controller responsible for the Regulatory Accounting & Policy, Accounts Payable, Payroll and Account Reconciliation sections. From 2018 to 2021, I returned to the Assistant Controller position for the Financial Reporting Sections. I became Vice President and Controller in 2021. In

June 1984, I received a Bachelor of Business Degree in Accounting from Baruch College and in January 1990, I received a Master of Business Administration in Finance from Baruch College.

(**Wilson**) I am the Vice President of Engineering and Planning. In my current position, my responsibilities include overseeing energy services, engineering, and quality assurance. Engineering and Planning is also responsible for designing and monitoring the performance of the electric distribution system. I joined the Company in 2001 as a management intern and have held positions of increasing responsibility in Electric Operations, Auditing and Transmission Operations. I assumed my current position in June 2022 after serving as the Vice President of Bronx and Westchester Electric Operations. I hold a Bachelor of Arts in Communications from the College of Mount Saint Vincent and a Master of Business Administration from SUNY Oswego.

**(Haggerty)** I am the Vice President of IT, Business Systems Delivery (BSD) Department. I am responsible for the Company's portfolio of approximately 530 applications. The applications are categorized into the following areas: Customer; IT/OT; Work and Asset Management; and Shared Services. I have been employed by Con Edison since 1991,

holding various positions of increasing responsibility in Utility Shared Services, Corporate Shared Services, and Electric Operations. I hold a Master's degree in Energy Management from New York Institute of Technology and a Bachelor's degree in Finance & International Business from Manhattan College.

**(Glasser)** I am the Vice President of IT Engineering & Operations. I am responsible for Enterprise Architecture, Infrastructure and Network Operations, and Enterprise Data and Analytics. I have been employed by Con Edison since 1998, holding positions of increasing responsibility in Finance, Treasury, Shared Service Administration, Orange and Rockland Utilities, Inc. (O&R) Operations, Customer Energy Solutions, and IT. I hold a Bachelor of Science degree in Management Information Systems from the University of Connecticut and a Master of Business Administration degree in Project Management from DeVry University.

**(Murphy)** I am the Vice President of Customer Operations. I have overall responsibility for the Company's customer service programs, including customer outreach, meter reading, billing, and responding to customer inquiries. I oversee the administration of the Company's retail choice

program that supports the competitive energy marketplace. I began my employment with Con Edison more than 24 years ago and have held a variety of positions within Con Edison. I earned a Bachelor of Science degree in Business Administration from the University at Albany and a Master of Business Administration in Management of Information Systems from Fordham University.

Q. Have any members of the Panel previously testified before the New York State Public Service Commission (PSC or Commission)?

A. Witnesses Miller and Wilson (Case 22-E-0064), Haggerty (Cases 22-E-0064 and 22-G-0065), Murphy (Cases 22-E-0064, 22-G-0065, 19-E-0065, and 19-G-0066), and Glasser (Cases 21-E-0074 and 21-G-0073) submitted testimony in prior proceedings.

## PURPOSE OF TESTIMONY

Q. Please summarize the purpose of the Panel's testimony.

A. This testimony outlines Con Edison's IT investments and initiatives for the proposed rate period. IT works with all business units to create and deploy technology solutions that align with Company goals and support the clean energy transition, focusing on cybersecurity, excellence, safety, customer engagement, and innovation. These projects strive to exceed customer, stakeholder, regulator, and employee

expectations by emphasizing innovation and staying abreast of industry trends, such as Generative Artificial Intelligence (GenAI). Additionally, we are modernizing our technology platforms to enhance reliability and security.

Q. Are Cybersecurity investments included in this Panel's testimony?

A. No. The enterprise-wide cybersecurity request for the program is discussed in the Cyber and Physical Security Panel (Security Panel) testimony. However, many projects and programs included within this Panel contain cybersecurity components which are byproducts of, not the intent of, their function.

Q. Please explain how the testimony is structured.

A. This testimony:

- Discusses the Company's overall IT organization, its role and core function, and IT strategy.
- Summarizes the Company's IT capital and O&M investments, and technology trends.
- Explains projects in five categories:
    - Customer Applications
    - Clean Energy/Operational Projects
    - Core Applications
    - Core Infrastructure, and

o Enterprise Data and Analytics.

Q. Does this testimony include all Company IT-related projects?

A. Yes, except for the cybersecurity projects contained in the Security Panel.

Q. For what period is the Company requesting funding?

A. The Company seeks a one-year rate plan for the twelve-month period ending December 31, 2026 (Rate Year or RY1). As discussed by the Accounting Panel, the Company is open to discussing a longer rate plan in settlement negotiations. Therefore, we present information for the twelve-month periods ending December 31, 2027 (RY2) and December 31, 2028 (RY3).

Q. Do you have any exhibits that accompany this testimony?

A. Yes, the IT Panel is presenting 12 exhibits, Exhibit___(IT-1) through Exhibit___(IT-12).

Q. Were these exhibits prepared under the Panel's direction and supervision?

A. Yes. The Panel describes each of these exhibits below and will refer to them in our testimony:

- Exhibit___(IT-1) Summary of IT Panel Capital Requests

- Exhibit___(IT-2) Summary of IT Panel O&M Requests
- Exhibit___(IT-3) Summary of IT Panel FTE Requests
- Exhibit__(IT-4) O&M Only White Papers
- Exhibit___(IT-5) Customer Application Related White Papers
- Exhibit___(IT-6) Clean Energy/Operational Related White Papers
- Exhibit___(IT-7) Core Applications Related White Papers
- Exhibit___(IT-8) Core Infrastructure Related White Papers
- Exhibit___(IT-9) Enterprise Data and Analytics Related White Papers
- Exhibit  (IT-10) Enterprise Data and Analytics
- Exhibit  (IT-11) Work Management System
- Exhibit  (IT-12) IT Organization Chart

Q. What are the requested expenditures for IT projects that the Company is including in this filing?

A. The Company has included $2.737 billion in requested capital and $248.366 million in incremental Operating and Maintenance (O&M) expenditures for company-wide IT projects over the three-year period.

Q. Has the Company prepared an exhibit that outlines the Company's total capital and O&M requests across rate years?

A. Yes. Please refer to Exhibits(IT-1) and (IT-2) for the Company's requested overall capital and O&M investments.

# IT OVERVIEW

## Role and Structure of IT

Q. What is the role of the IT organization at Con Edison?

A. The IT organization supports business operations by investing in technology that provides safe and reliable service, enhances our customers' experience, and complies with regulatory requirements. Similar to Electric and Gas operations, this requires investment in our foundational IT infrastructure (e.g., data centers that host the servers, databases, routers, firewalls, etc.), application platforms to support business functions, physical security and cybersecurity products.

Q. How does IT support its internal customers?

A. The IT organization has two departments that primarily address internal work and two security departments (discussed in the Security Panel). One department, **Business Solutions Delivery**, provides application development and support for the approximately 530 applications. The second department, **Engineering and Operations**, builds and manages

the Company's IT architecture, data, networks, and infrastructure needs.

The IT organization chart is attached as Exhibit___(IT-12).

## IT Strategy

Q. What is the Company's general IT strategy?

A. The Company's IT strategy focuses on five areas and guides the work we do. These areas are Security, Operational Excellence, Customer Experience, Technology Modernization, and Innovation.

Q. Please discuss the first prong of IT's strategy, **Security**.

A. The Company prioritizes security in all IT initiatives by implementing a defense-in-depth strategy (discussed in the Security Panel) to safeguard its computing assets from cyber intrusions and attacks. The Company's security (physical and cyber) program is discussed in the Security Panel testimony.

Q. Please discuss the second prong of IT's strategy, **Operational and Project Excellence**.

A. IT strives to achieve zero safety and cyber incidents, zero operating errors, and zero quality defects.

Q. Please continue.

A. IT's strong focus on operational excellence and project excellence increases reliability, enhances security,

improves service quality, and focuses on proactively solving enterprise-scale problems.

Q. How does operational excellence increase reliability?

A. Minimizing operational errors and defects, along with incorporating redundancy, enhances reliability. Enhanced reliability fosters user trust and ensures that applications perform correctly, thereby supporting business continuity.

Q. How does operational excellence enhance security?

A. By safeguarding data, networks, and systems.

Q. What about improving quality of service?

A. By focusing on why defects occur and addressing those sources, we can identify and resolve potential issues before they escalate.

Q. Please discuss **Customer Experience**.

A. Customer Experience encompasses improving the customer journey, meeting regulatory and business needs, and enabling customer access to clean energy programs.

Q. Please discuss the fourth IT strategy prong, **Technology Modernization**.

A. Technology Modernization upgrades obsolete technology, implements security hardening measures, and modernizes

infrastructure. The Company must continuously upgrade applications and patch software and hardware to keep current with appropriate security standards.

Q. Please discuss the fifth IT strategy prong, **Innovation**.

A. Innovation assesses and provides new technologies and solutions that enhance operational effectiveness. It enables organizations to adapt to rapidly changing technological landscapes, ensuring long-term success and sustainability. These solutions streamline processes and drive product development to meet customer needs.

Q. How does the Company incorporate technology trends as a part of its IT strategy?

A. Emerging trends include Cyber security standards, Cloud Computing, Artificial Intelligence (AI), and Quantum Computing. Technology in these areas is advancing at a rapidly and changing the way businesses operate. To continue providing reliable service and broader value to our customers, the Company must keep abreast of emerging trends. We consider these trends as we collaborate with the Company's business units.

## Total Capital and O&M Summary

### Capital

Q. Please describe the forecasted capital request for each rate year and its main drivers.

A. The **2026** capital request is approximately $1.024 billion, a nearly $700 million increase from 2025. The main drivers for the increase in 2026 are the Finance and Supply Chain Transformation project ($131M), REV-Grid Modernization (DSP)(Distributed System Platform) project ($51M), and Technology Modernization Program ($44.6M).

The **2027** capital request is $931.570 million, a $92.430 million decrease from 2026. The main drivers for the 2027 request are the Finance and Supply Chain Transformation project($135M), REV-Grid Modernization (DSP) project ($52M), and the Technology Modernization program ($35M).

The **2028** capital request is $781.626 million, a $149.944 million decrease from 2027. The main drivers are the [Finance and Supply Chain Transformation project ($47M), REV-Grid Modernization project (DSP) ($52.5M), CC&B phase 2 project ($89M), and the Technology Modernization program ($35M).

O&M

Q. Before explaining the Company's O&M request, please explain the types of costs in the O&M category.

A. IT O&M requests fall into two main categories: a capital project with an O&M tail and incremental O&M for existing projects whose costs increase over time.

Q. Please explain what is meant by an O&M tail.

A. Simply put, an O&M tail represents the ancillary costs associated with owning and operating an asset. For example, when the Company purchases a "capital" vehicle, to operate that vehicle, it must have gas, have routine maintenance performed on various systems, have a driver, and need certain parts replacement as appropriate. The costs for the gas, maintenance, driver, and repairs are the O&M tail.

Q. Please explain the O&M tail as it relates to IT projects.

A. Most IT projects are capital projects as they are initially developed and implemented. Once in production, operating costs, including subscriptions or licenses and maintenance costs, are incurred.

Q. Do you have an example of an IT O&M tail?

A. For Outage Management platforms, the O&M tail is comprised of vendor license costs, labor cost for deploying patches, labor cost for testing (functional testing, stress testing,

patch testing, etc.), and coding/programing costs that result from changes in regulatory requirements for the core system or one of the systems it may integrate to.

Q. Please explain the Incremental O&M cost.

A. Incremental O&M is required for the increasing maintenance and subscription contracts for overall IT infrastructure, including cloud and communications. For example:

- With device inventory growth, maintenance costs for infrastructure equipment (e.g., servers and network switches) have similarly increased.
- Growing dependence on technology to automate field functions has increased telecommunications costs.
- We also modernize and improve the security for our data centers, increasing maintenance and support costs for data center infrastructure.

Q. Is the Company planning to discontinue its mainframe system?

A. Yes, over time. Right now, our mainframe environment is necessary to host some remaining applications, such as our field collection platform. There are incremental O&M costs for vendor software and hardware maintenance increases, such as IBM and VMWare, associated with these remaining systems.

Q. Please describe the O&M request and the main drivers for the O&M request.

A. For O&M, we are requesting $163.621 million in incremental expenditures in RY1, an additional $55.418 million in RY2, and another additional $29.327 million in RY3. The main drivers for the request are the O&M tails associated with our proposed capital projects, software licenses and subscriptions, hardware and software maintenance contracts, and increasing telecommunications costs.

Q. Are there hardware and software contracts associated with the investments discussed in this testimony?

A. Yes. Contracts include investments in hardware and software license renewals, as well as in vendor support and maintenance agreements for infrastructure components such as cloud, servers, storage, mainframe, network and datacenter services.

Q. Please describe the importance of vendor support contracts and maintenance agreements.

A. Vendor support contracts and maintenance agreements are essential for several reasons:

- Expert Support: Maintenance agreements provide access to experts, including 24/7 support where needed, who can troubleshoot and resolve complex issues.

- Security: Regular maintenance includes updates and patches that protect our systems from vulnerabilities and security threats.
- Compliance: Keeping our systems compliant with evolving industry regulations and standards.

Q. Are there any other contracts you would like to discuss regarding hardware and software expenditures?

A. Yes. We also have expenditures for license and subscription renewals.

Q. Are there any trends you are seeing regarding software licensing?

A. Yes. The vendor partners' strategy shift from a perpetual licensing model (one-time fee) to a subscription-based model (recurring payments) has continued.

Vendors are also continuing the practice of bundling software, that is, including multiple software programs together as a single package. For example, Microsoft bundles its operating system package with Outlook, Word, Excel, PowerPoint, and Teams. This change in licensing model has an upward cost impact.

Q. Are there contracts under IT Hardware and Software Maintenance associated with cloud services subscriptions?

A. Yes. Microsoft 365, Microsoft Azure, and Citrix virtual desktop cloud-based services are critical to the IT ecosystem. These tools are used for productivity and collaboration (Word, Excel, PowerPoint, and Teams), security (Defender), and Data and Analytics (Azure).

Q. What is the incremental request for IT Hardware and Software?

A. The incremental O&M for IT Hardware and Software is $37.3 million in RY1, $15.5 million in RY2, and $2.8 million in RY3.

Q. Are there other projects or programs that impact the incremental O&M?

A. Yes. The projects and programs are as follows:

**IT Telecom** (Exhibit IT-4) The total incremental O&M spending request is $7.925 million: $7 million in RY1, $0.924 million in RY2, and $0.01 million in RY3.

**Oracle Strategic Partnership (OSP) Run** (Exhibit IT-4) The total incremental O&M spending request is $10.6 million: $8.4 million in RY1, $1.4 million in RY2, and $0.85 million in RY3.

**Enterprise Geographic Information System (eGIS) Support** (Exhibit IT-4) The total incremental O&M spending request is $5 million in RY1.

**Enterprise PI Historian Platform** (Exhibit IT-4) The total incremental O&M spending request is $0.95 million: $0.9 million in RY1 and $0.05 million in RY2.

**Phase Zero Technology Roadmap for Rate Engineering** (Exhibit IT-4) The total incremental O&M spending request is $0.33 million in RY2.

**IT Talent Transformation Team – T3 Project** (Exhibit IT-4 The total incremental O&M spending request is $0.72 million: $0.45 million in RY1 and $0.25 million in RY2.

**IT Quality Assurance & Compliance Office** (Exhibit IT-4) The total incremental O&M spending request is $0.46 million: $0.32 million in RY1 and $0.14 million RY2.

**Master Service Provider (MSP) Go-To-Market** (Exhibit IT-4) The total incremental O&M spending request is $3.9 million in RY1.

**Gas Applications** (Exhibit IT-4) The total incremental O&M request is $1.838 million in RY1.

**Integrated Energy Data Resource (IEDR)** (Exhibit IT-4) The total incremental O&M spending request is $2 million: $1.47 million in RY2 and $0.53 million in RY3.

Q. Will this Panel discuss allocation for projects and programs and projects that are common to O&R?

A. Many projects and programs discussed in our testimony are common to the Company's electric, gas, and steam businesses, and, in most cases, to O&R. The Company's Accounting Panel explains how costs are allocated across Con Edison's businesses and, where applicable, to O&R.

## Additional FTEs

Q. Do both the capital and O&M requests include additional personnel?

A. Yes. Current Staffing levels are insufficient in various areas, including Customer Operations, IT Infrastructure Operations, and IT Enterprise Data and Analytics. In total, our headcount will increase by 225 employees. We have developed an exhibit that provides details for the requested employees Exhibit (IT -3).

Q. Why are additional resources needed in **Customer Operations**?

A. Additional IT and Customer Operations resources will support the technology investments central to both foundational customer service technology (and their related maintenance and upgrade needs) and other technology programs supporting the Customer Experience. Specifically, the Company requires incremental resources to handle new initiatives outlined in this testimony, as well as

additional FTEs to support additional programs identified in this testimony and the exhibits thereto.

- Digital Customer Experience (DCX) requests 8 additional O&M resources to maintain and enhance self-service capabilities and the reliability, performance, and reporting processes of our website and MyAccount digital platforms. The Company has determined the necessary FTEs based on the need to continue building an agile, digital-focused team to expand the DCX platform.
- The Customer Engagement Platform (CEP) requests 8 FTEs, primarily in RY3, to develop and test the platform before implementation and to stabilize post-implementation. The team developed a resource plan for an ongoing support team, as well as a smaller, temporary support team that will be available post-go-live to resolve defects and implement enhancements.
- The Enterprise Data Privacy Program seeks 10 FTEs to maintain and enhance the Company’s privacy platform and processes. Labor estimates are based on current staffing levels and forecasts for additional needs

to implement the expanded program. As the program evolves, some resources currently allocated as capital will move to O&M, while several new hires will be classified as O&M.

Q. Why are additional resources needed in **Infrastructure Operations**?

A. The Company is requesting an additional 53 resources for Infrastructure Operations: 29 FTEs to execute the capital investment projects included herein (XM10, XM8, Data Center Improvements, and Technology Modernization) and 24 to, among other things:

- Maintain infrastructure investments as part of an O&M tail for data centers and networks, and standards.
- Perform end-of-life equipment replacements to maintain reliability of the IT infrastructure; and
- Evaluate and drive infrastructure standards.

Q. How many additional resources are being requested for the **Enterprise Data & Analytics Programs**?

A. These programs need thirty-two additional FTE resources.

Q. Why are additional resources needed?

A. New hires will initially be funded through capital dollars and roll over to O&M as solutions are placed into service. 17 resources are needed to build and sustain the Enterprise Data & Analytics Program, which will expand to additional business domains. The team includes Architects, Product Managers, Technical Leads, and Managers. 12 additional team members are needed for the Integration Technical Obsolescence program, replacing the Company's aging integration platform. This project will span four years, involving development, maintenance, and support. The three remaining team members will migrate automations from our legacy system to Microsoft Power Platform and assist in upgrading dated SharePoint Solutions to modern PowerApps. These projects will span over three years and these resources will support and stabilize these changes once they are moved in service.

## IT PROJECTS BY CATEGORY

Q. What projects will the Panel discuss in this testimony?

A. We discuss the larger investments in each of the five categories that IT projects fall into:

1. **Customer Applications**

- Customer Care & Billing (CC&B) enhancements and upgrade
- Digital Customer Experience (DCX)
- Customer Engagement Platform (CEP)
- Customer Analytics, Reporting and Engagement (CARE)
- Building Energy Usage Portal (BEUP)
- Enterprise Data Privacy Program

2. **Clean Energy / Operations**

- REV-Grid Modernization (DSP)
- Integrated Grid Management Visualization Optimization (IGMVO)
- Grid Energy Renewable Laboratory (GERL)
- Clean Energy Mapping Platform
- Outage Management System (OMS) Resiliency and Sustainability and Outage Management Hardening and Modernization

3. **Core Applications**

- Work and Asset Management Platforms
- Finance and Supply Chain Transformation
- Fixed Asset and Tax Accounting Transformation

4. **Core Infrastructure**

- XM-8 and XM-10

- CCTN
- Technology Modernization
- M365

5. **Enterprise Data and Analytics**

## CUSTOMER APPLICATIONS

Q. Please explain the purpose of projects under the Customer Applications category.

A. This investment category will enhance our customer service, enable customer participation in the clean energy future, and make it easier for customers to interact with the Company. Equally important, we will continue to invest in and protect customer data, providing the customer with the ability to understand the types and uses of data the Company maintains.

All other customer-related projects are included in Exhibit (IT-5).

### Customer Care and Billing

Q. What is the Company's customer service system?

A. Con Edison uses Oracle's Customer Care and Billing (CC&B) system to manage customer billing and other functions.

Q. Is the Company requesting funding for CC&B?

A. Yes. We are proposing: (1) O&M funding to maintain and operate CC&B at a "steady state," (2) capital funding to implement program enhancements, and (3) capital funding for a future CC&B software upgrade to avoid system reliability risks when Oracle ends support for CC&B's current version.

Q. Please explain the funding request to **maintain and operate CC&B**.

A. To operate and maintain CC&B at a "steady state," ongoing O&M funding is needed. Software maintenance and support sustains the system's resiliency and mitigates risks to business operations that rely on it. Since we have moved from the project's build phase into "steady state," these costs are considered O&M.

Q. What activities will the O&M support team undertake?

A. The O&M support team will operate CC&B at a steady state. Among other things, the team will ensure that the software is functioning, monitor system performance, address reported defects, implement patches, and perform other ongoing support functions.

Q. Are there additional O&M tasks that must be undertaken?

A. Yes. There are costs for CC&B software licenses.

Q. Is the company requesting any additional FTEs for the O&M support team?

A. No.

Q. What happens if these "steady state" functions are not performed?

A. Not undertaking these activities could compromise the reliability and performance of the CC&B system as well as the customer experience with billing, payments, and customer service.

Q. On the capital side, please explain the **CC&B system enhancements**.

A. The Company will implement enhancements to CC&B as needed. For example, the Company regularly needs to establish new rates and structure, such as net metering. We generally implement a new rate or structure at least annually based on Commission requirements. We also need to enhance the system to enable energy efficiency and affordability programs, retain new data elements, and integrate with additional software systems.

In addition to developing needed enhancements, we need to perform robust testing to confirm that the application continues to perform as expected. These system enhancements will provide increased value to customers, such as new programs and clean energy rate changes (e.g., low and moderate (LMI) initiatives, CDG/Value Stack).

Q. Turning to the third request, please explain the Company's **CC&B upgrade** plans.

A. Oracle's roadmap ceases product support for the current production version of the CC&B product after April 2029. Consequently, to keep the platform up to date and supported, the Company must upgrade the CC&B software platform.

Q. What work is needed to upgrade CC&B?

A. Starting in 2026, the Company will work with a consultant to develop a detailed implementation plan to, starting in 2027, convert to the new platform over a two-year period.

Q. What happens if the CC&B is not upgraded to a vendor-supported platform?

A. Without vendor support, the Company will not receive upgrades or system patches to address known cyber vulnerabilities. Conducting business with limited system support will increase the risk that the system will lose reliability, jeopardizing the Company's ability to bill customers timely and accurately and comply with other regulatory requirements. Moreover, the Company's ability to meet new and evolving requirements will also decline, creating risks for all business operations that rely on CC&B.

Q. Did the 2023 CC&B implementation consider this upgrade?

A. Yes. Con Edison started planning to implement a new customer service system to replace its decades-old legacy mainframe Customer Information System in 2014 and entered into an agreement with Oracle in 2018. In 2022, after the Company's conversion process was more than halfway completed, Oracle announced that version 2.8 would only be supported until 2029. The Company considered the merits of instead implementing a newer version of CC&B (v 2.9), but at that advanced stage of the development process, determined that doing so would have been difficult and presented unnecessary risk to the project's timeline and the success of implementation.

Q. Is this decision consistent with best implementation practices?

A. Yes. It was consistent with a generally accepted principle of large-scale IT implementations known as "N-1." Under this strategic approach, the entity implementing the software uses one prior version of the most recent version to balance stability and innovation by implementing a more proven solution, reducing risk of issues that might arise with a less thoroughly vetted version.

Q. What funding is the Company requesting in this filing for CC&B?

A. The Company requests $145.6 million in total capital funding for these CC&B projects, broken out into $28.1 million in RY1, $28.2 million in RY2, and $89.4 million in RY3.

For RY1-RY3, the Company requests an O&M increase of $1 million in RY1, followed by an incremental increase of $0.6 million in RY2 and increase of $0.7 million in RY3.

Q. Would any of the funds requested here be used to recover any of the past expenses related to implementation of CC&B that are the subject of the Commission's *Order Regarding Costs to Implement Customer Service System*, issued May 16, 2024, in Cases 19-E-0065 and 19-G-0066?

A. No. The requested funds support the Company's future efforts to maintain, enhance, and upgrade its current CC&B system and have no relationship with or impact on any historical costs.

## Digital Customer Experience

Q. Please describe the Digital Customer Experience (DCX) program.

A. DCX is a foundational digital platform providing web, mobile web, and application functionality, allowing

customers to manage their accounts and services and communicate with the Company. Since its launch, customers have used digital self-service tools across a broad range of transactions.

Q. Why is DCX important?

A. DCX's assets allow customers to digitally interact with the Company, including website, mobile applications, payment processing, outage reporting and communications, energy usage data, and financial assistance programs. Continued investment in DCX is critical to the Company's ability to support statewide clean energy goals. For clean energy programs, DCX serve as the integration point to provide customers with information regarding their energy usage, rate options, and clean energy programs.

Q. What does the Company propose for DCX for 2026-2028?

A. For 2026-2028, DCX is focused on two principal areas: 1) an O&M program supporting or upgrading infrastructure that keeps the digital products running, and 2) a capital program expanding digital offerings to keep our platform modern and relevant. The infrastructure portion of this effort will enhance platform security, reliability, performance, and reporting. This work includes improvements

to the website and mobile app to enhance support for our customer payment and communication systems.

Q. Are there also plans to develop new tools for customers to interact with the Company?

A. Yes. These plans include expanding customer payment options, implementing new or improved customer self-service transactions, such as initiating service with the company, and increasing personalization tools, such as informing customers of financial assistance programs.

Q. What capital funding is requested for the program over 2026-2028?

A. The Company proposes to spend $15.9 million in capital in each rate year.

Q. What is the O&M funding request for DCX for 2026-2028?

A. An O&M increase of $2,5 million is requested in RY1, followed by an incremental increase of $0.3 million in RY2 and an additional increase of $0.3 million in RY3.

## Customer Engagement Platform

Q. Please explain the Customer Engagement Platform (CEP) project.

A. Following CC&B implementation, the next step toward a mature customer technology platform is an intuitive, user-

friendly interface for support teams to engage with customers. This project will provide:

1. **Customer Interaction Dashboard:** A centralized dashboard with a comprehensive view of customer, usage, and payment data, as well as program eligibility, allowing Customer Service Representatives (CSRs) and other customer-facing employees to see the whole customer picture and fulfill their requests.
2. **Correspondence Center:** A tool to manage and track customer interactions across different communications platforms, improving CSRs ability to provide consistent and proactive support on eligible services, billing or arrears concerns, and clean energy products.

Q. Why is the Company proposing the CEP project now?

A. CEP is essential for the Company to keep pace with customer expectations. The technology creates seamless interactions with customers across multiple channels and delivers personalized services with tailored recommendations on products and programs that optimize energy savings. Moreover, industry benchmarking indicates that a CEP is a leading industry practice used by most large utilities.

Q. What are the key benefits of the CEP project?

A. The CEP will bring every aspect of the customers' engagement with the Company onto one interface, enabling CSRs to readily access more information about customers and their interactions with the Company and, as a result, provide faster and more effective customer service. For example, when customers contact us with billing questions, their inquiry initiates an investigation across multiple systems beyond CC&B, such as: (a) MAMS to confirm meter presence, (b) ProField for un-synced field reports, (c) CPMS for active energy service cases, and (d) PEGA to schedule a meter appointment. By connecting these systems, CSRs can respond quickly to customer inquiries, enhancing customer satisfaction.

The CEP will also provide customers with individualized guidance and recommendations. For example, the data sources that the Company plans to integrate with the CEP will be able to offer real-time recommendations to troubleshoot problems and identify relevant customer programs based on analysis of customer data and Company business rules.

Q. How does the Company plan to undertake the project?

A. The Company intends to undertake a three-phase, 36-month development project starting in 2026.

Q. What capital funding is requested for CEP during 2026-2028?

A. The Company requires capital funding of $9.1 million in RY1, $24 million in RY2, and $11.6 million in RY3 to support labor, vendor expenses, and software and hardware costs associated with the implementation of the CEP's Customer Interaction Dashboard and Correspondence Center.

Q. What O&M spending is requested for CEP during 2026-2028?

A. An O&M increase of $0.2 million is requested inRY1, followed by an incremental increase of $2.3 million in RY2 and increase of $0.8 million in RY3. This funding will cover the IT infrastructure, software-related costs, ongoing costs for technology solutions, and labor costs associated with the CEP program once it is implemented.

## Customer Analytics, Reporting, and Engagement

Q. Please discuss the **Customer Analytics, Reporting, and Engagement** (CARE) program.

A. The CARE program (formerly known as Customer Recommendation and Analysis Tools) provides an improved clean energy digital experience through a suite of tools to facilitate decision-making, accelerate clean energy technology adoption, and support State and City climate and clean energy goals.

From 2023-2025, CARE launched a consolidated and searchable energy efficiency rebate experience, deployed a customer scheduling tool for electric vehicle site assessments, and redesigned clean energy program web pages for several Con Edison programs. Additional efforts underway include centralizing contractor resources, developing tools to guide customers through alternative rate options, and continuing redesign of clean energy program web pages.

Q. Does this request include new work and enhancements to the work already underway?

Yes. This request allows the Company to continue to invest in enhancements of existing projects as well as launch new tools. New projects are expected to include an electrification experience that will guide customers through the electrification process, and clean energy customer service tools to support Company employees who advise and respond to customer inquiries.

The Company will continue to file a quarterly Implementation Status Report detailing not only enhancements completed, but also work planned, budget spent, outreach and education efforts, and key metrics.

Q. Please explain the benefits of the CARE program.

A. The CARE program improves clean energy technology and customer program educational content and develops tools that enable customers to overcome the complex decision-making associated with clean energy investments. CARE also supports and empowers the contractors and professionals who play a central role in helping customers explore and install clean energy technologies through a digital experience dedicated to them.

Q. What capital funding is requested for CARE during 2026-2028?

A. The capital request for the CARE project is $48.18 million: $18.51 million in RY1, $17.08 million in RY2 and $12.59 million in RY3.

Q. What is the incremental O&M request for CARE during 2026-2028?

A. The incremental O&M request is $8.22 million: $4.22 million in RY1, $2.51 million in RY2, and $1.49 million in RY3.

## Building Energy Usage Portal

Q. Please explain the current proposal for the **Building Energy Usage Portal** (BEUP) project.

A. Given the increasing prevalence of benchmarking data required by different governmental agencies, the Company plans to enhance its existing benchmarking portal by establishing a dedicated BEUP.

Q. Has the Company recently updated its benchmarking portal?

A. Yes. In the current rate period, we enhanced the portal to leverage our AMI (Advanced Metering Infrastructure) data, provided increased granularity for customers, and enhanced the customer experience, including improved enrollment and energy consumption data accessibility.

Q. Does the Company plan to continue this work?

A. Yes. The BEUP will continue to provide usage information for customers who must submit data to comply with Local Law 84 and Local Law 97. The project will expand available data and portal access to a broader audience, including buildings not subject to New York City benchmarking compliance requirements, to enable smaller building owners and managers ongoing access to their aggregated building consumption data. BEUP will also re-architect the benchmarking portal’s building data model to accommodate multiple input types, including Building Identification Number to align with City Local Law requirements, Borough

Block and Lot, Service Address, and Meter ID, while pairing with Energy Star Portfolio Manager.

We plan to build a flexible foundational data structure to anticipate and accommodate changes in reporting needs associated with benchmarking data. These changes will provide a comprehensive picture for building owners of their energy management investments and results.

Q. What capital funding is requested for BEUP in 2026-2028?

A. The BEUP capital request is $15.42 million: $4.86 in RY1, $5.42 in RY2 and $5.14 million in RY3.

Q. What incremental O&M is requested for BEUP in 2026-2028?

A. The incremental O&M request in 2026-2028 is $1.73 million: $1.46 million in RY1, $0.18 million in RY2, and $0.09 million in RY3.

## Enterprise Data Privacy Program

Q. What is the Enterprise Data Privacy Program?

A. Protecting customer information, including personal information (PI) and personally identifiable information (PII), is a corporate priority. This comprehensive initiative will enhance the Company's privacy practices by

enabling it to meet evolving customer expectations and legal and regulatory requirements.

Q. What are PI and PII?

A. PI refers to any information that is related to an individual, such as names, addresses, email addresses, phone numbers, and IP addresses.

PII can uniquely identify an individual and is more sensitive than PI, as it presents a greater risk of harm to both the person and our Company if it was exposed, misused, or lost. Examples of PII include Social Security numbers, driver's license numbers, and financial account information.

Q. Why is protecting customer PI and PII important?

A. For several reasons. First, customers have growing expectations regarding the privacy of their data and provide PI and PII to companies like Con Edison with the understanding that those companies will protect their data. Second, customers expect to have knowledge of and control over what entities do with their data, including whom they share it with and how it its protected. Customers also want the ability to correct any errors and request that their information be erased, if appropriate.

The Company takes seriously its responsibility to collect, use, process, share, and protect customer and employee PI and PII. It is the Company's position that these are the needs and rights of the customers we serve, regardless of the statutory or regulatory framework in the states where they receive our services.

Historically, privacy management has primarily revolved around safeguarding PII. However, evolving privacy laws, increasing cyber threats and hackers, and our customers growing expectations require expanding our approach to privacy management to inclusively address the handling and storage of all PI throughout the Company.

Q. What actions has the Commission taken with respect to customer data privacy?

A. The Commission has issued several orders stating that customers own their data and mandating the protection of customer data, including requiring each utility to have a third party annually assess their privacy program.

Q. Has Con Edison undertaken these third-party assessments?

A. Yes. Consistent with the recommendations we have received from those third-party assessors, the Company's proposals focus on maturing our data privacy program.

Q. What steps has the Company taken to address privacy?

A. The Company has invested in privacy, hiring a dedicated privacy team, purchasing a new enterprise-wide privacy platform, and implementing the tools and processes required to improve how it manages and protects personal data. The Company has also enhanced legacy processes and systems to build a robust privacy operations function.

Q. Please explain the capital and O&M work proposed for the Enterprise Data Privacy Program.

A. The Company requests capital funding to enhance the program and further align it with leading data privacy practices. The Company plans, among other things, to establish a platform to create governance and privacy controls for data sharing with third parties, modern PI/PII records retention and data deletion efforts, and expand privacy platform functionalities to keep pace with legislative, regulatory, and business requirements.

The Company requests O&M funding to support the "steady state" of the Program to manage and scale the systems, processes, tools, and controls already in place as well as software licensing fees. The existing platform needs to be maintained just as other platforms and software mentioned herein.

Q. What are the key benefits of the Enterprise Data Privacy program?

A. The program enhances the Company's privacy posture by implementing technology solutions and business processes to better manage PI and PII. These measures will protect the Company's operations against both internal and external threats, as customers expect.

In addition to improving protections for data, the program also empowers customers by allowing them to give consent to share data and determine where and how their data is used.

Q. What capital funding is requested for the project during 2026-2028?

A. The Company is requesting $15.6 million for RY1, $16.8 million for RY2, and $9.4 million for RY3.

Q. What O&M spending is requested for the project during 2026-2028?

A. We are requesting an incremental O&M increase of $6.4 million in RY1, followed by an incremental decrease of $1.9 million in RY2 and increase of $.2 million in RY3.

## Other Customer Projects

Q. Is the Company proposing any additional investments in customer applications, outside of those listed above and included within the testimony that follows?

A. Yes.

Q. Please list each project's name and funding request.

**Retail Access System Modernization** (Exhibit IT-5) The total capital funding request is $31.6 million: $16.22 million in RY1, $13.95 million in RY2, and $1.40 million in RY3. The total incremental O&M spending request is $7.34 million: $1.64 million in RY1, $3.67 million in RY2, and $2.03 million in RY3.

**Community Distributed Generation Platform** (Exhibit IT-5) The total capital funding request is $29.7 million: $9.09 million in RY1, $9.91 million in RY2, and $10.69 million in RY3. The total incremental O&M spending request is $9.4 million: $8.05 million in RY1, $0.84 million in RY2, and $0.51 million in RY3.

**Billing and Payments Enhancements** (Exhibit IT-5) The total capital funding request is $4 million: $3.0 million in RY1, $0.50 million in RY2, and $0.50 million in RY3. The total incremental O&M spending request is $0.25 million: $0.25 million in RY1.

**Back Office Automation** (Exhibit IT-5) The total capital funding request is $31.83 million: $10.53 million in RY1, $10.62 million in RY2, and $10.68 million in RY3. The total

incremental O&M spending request is $6.87 million: $6.94 million in RY1, and ($0.068) million in RY2.

**Contact Center Cloud** (Exhibit IT-5) The total capital funding request is $12.5 million: $6.0 million in RY1, $4.50 million in RY2, and $2.0 million in RY3. The total incremental O&M spending request is $7.2 million: $7.1 million in RY1, and $0.10 million in RY2.

**Customer Data Sharing** (Exhibit IT-5) The total capital funding request is $7.5 million: $2.50 million for each of RY1, RY2 and RY3. The total incremental O&M spending request is $0.71 million: $0.63 million in RY1, $0.04 million in each of RY2 and RY3.

**Outage Communications Program** (Exhibit IT-5) The total capital funding request is $6.8 million: $2.40 million in RY1, $2.30 million in RY2, and $2.10 million in RY3. The total incremental O&M spending request is $3.41 million: $1.88 million in RY1, $1.02 million in RY2, and $0.51 million in RY3.

**Emergency Outage Communications Program** (Exhibit IT-5) The total capital funding request is $8.5 million: $2.10 million in RY1, $3.20 million in RY2 and RY3. The total incremental O&M spending request is $2.1 million: $2.21 million in RY1, and ($0.11) million in RY2.

## CLEAN ENERGY/OPERATIONAL PROJECTS

Q. Please explain what projects are covered in the Clean Energy/Operations category.

A. This category covers the projects the Company undertakes to facilitate the Clean Energy transition as well as projects needed for electric and gas operations.

### Clean Energy Projects

Q. Is IT support needed for the clean energy transition?

A. Absolutely. IT enables many of the capabilities needed to assist the Company's role in the transition. For example, IT allows complex data management, analysis, and optimization required to integrate distributed energy resources (DER) – such as solar, energy storage, and electric vehicle (EV) chargers - onto the grid. The Company's proposed Clean Energy initiatives are critical for providing visibility into, communicating with, and coordinating grid operations with these technologies to support continued safe and reliable service.

### REV-Grid Modernization and Integrated Grid Management Visualization Optimization and Grid Edge Renewable Laboratory

Q. Is the Company proposing IT projects to help with the clean energy transition?

A. Yes. We have three projects:

(1) **REV-Grid Modernization (DSP)**, enhancing clean energy enabling IT systems and associated hardware, such as Conservation Voltage Optimization (CVO);

(2) **Integrated Grid Management Visualization Optimization (IGMVO)**, improving visibility and control for DER on the grid by expanding and centralizing the Company's current technology capabilities, including through phased Distributed Energy Resource Management System (DERMS) deployment; and

(3) the **Grid Edge Renewable Laboratory (GERL)**, evaluating and qualifying clean energy technologies to be deployed on the grid as well as software and hardware tools for monitoring, control, and data analytics.

Q. Please describe the proposed **REV-Grid Modernization (DSP**) program.

A. The DSP program enhances Con Edison's existing DSP work. The DSP already provides foundational tools to support integration of and benefits from DERs, including the Interconnection Online Application Portal (IOAP), Demand Management Tracking System (DMTS), and Demand Response Management System (DRMS).

Q. What system enhancements is the Company planning in the upcoming rate years?

A. The Company is planning enhancements to streamline IOAP document review and add automation tools to DMTS to improve the customer experience.

Q. Please explain the Company's CVO program.

A. The CVO program optimizes area substation supply voltages while preserving adequate voltage levels for customers. In 2026-2028, the Company will develop a dynamic 4kV automated voltage schedule for our unit substations using AMI voltage and SCADA data.

Q. What is a voltage schedule and why does the Company want to develop it for 4kV unit substations?

A. A voltage schedule is an automated process using load tap changer controllers to adjust substation voltages. While area substations have voltage schedules, voltage change on the 4kV system is a manual process. Prior investments have installed controllers, allowing voltage to be controlled in the same manner as area substations.

Q. Please continue.

A. The Company will develop a Dynamic 4kV voltage schedule, allowing the 4kV non-network system to adjust voltage using AMI and SCADA data. To do this, we need to update existing equipment to accommodate additional voltage set points as well as implement a new system to automate voltage

adjustment. These additional investments and set points will offer optimized control of the system. These investments will continue to reduce energy usage, lowering energy cost and greenhouse gas emissions on the 4kV system.

Q. Can CVO affect high tension customers?

A. Generally, no; however, some customers have experienced voltage issues at their downstream customer equipment due to customer adjustments that were needed.

To assist high tension customers with understanding the customer-side voltage levels, Con Edison provided these customers with a tool to review average hourly voltage readings at their meters as well as a calculated secondary voltage. The Company subsequently provided three additional enhancements to the tool as requested by these customers.

Q. Is CVO important?

A. Yes. There are energy and environmental benefits from this program. Operating the electric system at optimal voltages reduces total energy consumption as well as associated generation emissions. By leveraging the SCADA and AMI system, the Company can reduce energy usage on the 4kV grid, achieving additional CO2 emissions reductions.

Q. What capital funding is requested for DSP during 2026-2028?

A. The capital request for DSP in 2026-2028 is $171.24 million: $57.76 million in RY1, $57.39 million in RY2 and $56.09 million in RY3.

Q. What incremental O&M is requested for DSP for 2026-2028?

A. The total incremental O&M request in 2026-2028 is $0.52 million.

## Integrated Grid Management Visualization Optimization and Grid Edge Renewable Laboratory

Q. Please explain the **Integrated Grid Management Visualization Optimization (IGMVO)** project.

A. Con Edison is developing the IGMVO to facilitate DER coordination with traditional grid assets and maximize DER value to the grid and customers. The IT platforms, system integrations, and business processes developed through IGMVO will centralize intelligence, visibility, and control of DER assets across the Company, leveraging a forward-looking modular, phased IT approach, where customer and operational value are realized as IT products are delivered. IGMVO includes the Company's multi-phase DERMS effort to support grid optimization through visualization and DER enablement. The Company plans to build on and enhance the phased deployment of DERMS capabilities.

Q. What work has the Company completed so far in its phased DERMS deployment?

A. From 2023-2025, under its DER Integration and Management program, the Company enhanced the accuracy and quality of its DER data, consolidated it into a system of record (the DER Asset Repository), established reporting automation, and supported the NYISO's DER participation model launch. The Company also assessed requirements for DER-inclusive load flow models that address the unique scale and complexity of Con Edison's network and non-network topology. Finally, Con Edison established an ongoing partnership with a software provider to develop their modular, scalable DERMS software for base functionality, adjusting as complexity grows.

Q. Please describe the Company's DERMS proposal.

A. In addition to building on existing DERMS capabilities, we plan to pursue additional functionality for DER monitoring, control, and grid operations. These investments will integrate DER and aggregator activities into traditional grid operations, offering operators and engineers greater visibility into DER performance, and continuing to enable DER value.

Q. Please describe the additional IGMVO investments.

A. The IGMVO investments will enhance customer hosting capacity visibility to make it easier for customers to interconnect DER, expand traditional grid operation tools, such as the Distribution Management system, to provide greater visibility to the grid edge and DER operations, and develop customer tools to inform their interconnection decisions. As DER operations grow in complexity, so will operational, modeling, and simulation scenarios. IGMVO's proposed monitoring, modeling, and simulation capabilities will enhance the Company's ability to perform scenario analysis by developing a grid model specifically in support of DER interconnection in hosting capacity-constrained areas. Additionally, integrating developed modeling tools with the queued and active DER Asset Repository will provide an automated link to DER data, saving time normally spent manually referencing projects.

Q. How does the IGMVO project leverage the foundation developed under the DSP program?

A. IGMVO builds upon the DSP. For example, the DER Asset Repository will integrate with IOAP and DRMS data and generate a distribution system model with centralized DER visibility and operations.

DSP work and IGVMO buildout are complementary investments required to develop a scalable and holistic approach to DER integration and operation.

Q. What capital funding is requested for IGMVO in 2026-2028?

A. The IGVMO capital request for IGMVO is $84.93 million: $26.95 million in RY1, $30.78 million in RY2 and $27.20 million in RY3.

Q. What incremental O&M is requested for IGMVO in 2026-2028?

A. The incremental O&M request is $5.97 million: $3.03 million in RY1, $0.96 million in RY2, and $1.98 million in RY3. This incremental O&M request supports both an O&M tail as well as anticipated O&M for requested projects.

## Grid Edge Renewable Laboratory

Q. How will Con Edison evaluate IGMVO and DSP technologies to support acceleration of DER integration with the grid and customer adoption of these technologies?

A. Con Edison plans to use the in-progress **Grid Edge Renewable Laboratory (GERL)** to evaluate DERMS and other utility- and customer-sided clean energy technologies. The GERL will test and analyze these technologies using software and hardware. The GERL software and hardware environment is physically and cyber secure and isolated from operational networks and the distribution system. This environment

supports partnerships with third-party providers of utility DER integration technologies, allows the Company to safely test and qualify new technologies for integration with the grid, and expedites pilot project activities. For example, GERL will test communication protocols to refine the Company's planned utility-side technologies, test and validate the cybersecurity and performance of both utility- and customer-side resource integration with utility systems, and train operational employees in a simulated environment. The GERL will also enhance the design, development, and deployment of future DERMS capabilities.

Q. What capital funding is requested for GERL in 2026-2028?

A. The capital request for GERL is $21.93 million: $7.28 in RY1, $7.95 in RY2 and $6.70 million in RY3.

Q. What incremental O&M is requested for GERL in 2026-2028?

A. The incremental O&M request is $4.80 million: $1.50 million in RY1, $0.60 million in RY2, and $2.70 million in RY3.

## Clean Energy Mapping Platform

Q. What is the **Clean Energy Mapping Platform**?

A. CEM is the next generation GIS platform, developed to accurately represent and manage complex infrastructure networks for electricity, gas, and steam. This advanced GIS software visualizes utility infrastructure with features

for tracing connections, identifying outages, and analyzing network performance.

Q. Please explain the scope of the Clean Energy Mapping Platform.

A. The first eGIS project is being implemented on a Geometric Network (GN) model, which the vendor will only support until 2028. The Company will upgrade from the GN to the Utility Network (UN) model. Using UN will build on foundational system capabilities to facilitate the clean energy transition and manage regulatory requirements, such as the Climate Leadership and Community Protection Act (CLCPA).

The Company plans to begin this project with enough lead time to maintain vendor support of the GN model throughout. The Company will implement the enterprise-wide upgrade to the UN by commodity, phased based on the maturity on the GN model.

Q. Please continue.

A. For this implementation, the Company will engage a GIS product vendor and system integrator, following a similar process used for the GN implementation. This partner will catalog the current eGIS network, prepare and migrate the data, configure and customize the system, and test and

deploy the UN for each business. Some key activities include developing the software package, coding system customizations, providing system integrator services, performing data conversion, and developing system architecture.

Q. Please explain the work that has been completed from the first project, eGIS Implementation.

A. eGIS Phase 1 and Phase 2 are complete. Phase 1 replaced the Company's VISION system, which consists of low-tension maps for all electric customers supplied by 120V and 465V distribution class cables and transformers and all gas customers supplied by gas service pipes.

Phase 2 replaced electric Primary feeders and high-tension maps and the Staten Island Mapping system.

Q. What other phases are currently underway in the eGIS Implementation project?

A. Phase 3 is currently in flight and converts the Company's Conduit and Duct Occupancy mapping system, which is a compilation of static PDF images, to a modern GIS platform. Phase 3 began in 2024 and with completion expected by 2026.

Q. What about steam?

A. The Steam GIS upgrade stared in 2024, and will be completed in 2026, after which time it will need to be upgraded to UN.

Q. What are the benefits of upgrading to the UN?

A. Some benefits include:

- Cybersecurity and upgrading to the latest version with vendor support.
- Enhanced functionality, including 3D modeling, conduit mapping, data organization, and out of the box functionality.

Q. What is the schedule for the upgrade to the UN?

A. The current plan is a six-year upgrade, starting in 2026, and going through 2032.

Q. What capital funding is requested for this project during the rate period?

A. The capital funding requested is $30 million in RY1, $35 million in RY2 and $35 million in RY3, totaling $100 million.

## Operational Projects

Q. What does the Company mean by operational projects?

A. IT-related projects that assist operational areas.

Q. How do these projects assist operational areas?

A. Throughout the Company, there are various systems that help employees perform their daily functions. For example, electric Control Center and distribution employees rely on outage management systems for visibility into outage and other emergency conditions to safely respond and remedy abnormal conditions and restore outages. These same platforms help our customer operations employees to discuss the outage with customers, our corporate communications employees to speak to elected officials and media, and our claims employees to understand if the claim is appropriate.

## OMS Resiliency and Sustainability and OMS System Hardening and Modernization

Q. Please describe the Company's current **Outage Management System (OMS)** (Exhibit IT-6).

A. OMS is the primary means of managing, tracking, and resolving electric distribution system customer outages. System inputs include, for example, customer outage reports, damage assessment, SCADA, AMI, and manual user input. The Company is proposing two projects to improve OMS resiliency.

Q. Please describe the **OMS Resiliency and Sustainability Project.**

A. This project will upgrade to the latest software version and enhance mobile capabilities for field operations.

Q. Why perform this project?

A. To keep pace with the latest industry OMS capabilities, the Company must continually upgrade to the latest version. It allows the Company to address storms of ever-increasing intensity and maintain reliability.

Q. Please explain the enhancements available from this upgrade.

A. The enhancements include improving field access to the electric distribution model, modernizing customer call and SCADA integrations into a scalable platform.

Q. Are there other enhancements considered for OMS?

A. Yes. For example, the Company plans to implement an instance of its Outage Management System in Oracle Cloud. And incorporate other data points into OMS.

Q. Turning to **OMS System Hardening and Modernization**, please describe this project.

A. We plan to modernize platforms, such as Weather Impact and Forecasting and Municipal Dashboard. The enhanced weather impact planning and forecasting model will assist in the analysis of storm impact predictions on the Company's equipment. The Company, in turn, can enhance prediction and

allocation of crews to prevent and fix damage on the Company's equipment due to weather.

The municipal dashboard will enhance bi-directional communication between the Company and the municipalities.

Q. Why undertake this project?

A. The project will avoid technology obsolescence and enhance collaboration and analytics.

Q. What capital funding is requested for these projects in 2026-2028?

A. The capital funding requested for OMS Resiliency and Sustainability is $13.4 million in RY1, $13.2 million in RY2 and $12.9 million in RY3. The capital funding requested for OMS System Hardening and Modernization is $24.9 million in RY1, $19.1 million in RY2 and $13.8 million in RY3.

Q. What incremental O&M spending is requested in 2026-2028?

A. The requested OMS Resiliency and Sustainability project incremental O&M is $0.5 million in RY1, $0 in RY2, and $0.6 million in RY3. The requested OMS System Hardening and Modernization project incremental O&M is $1.4 million in RY1, $0.5 million in RY2, and $1.6 million in RY3.

## Other Operational Projects

Q. Are there other operational projects included in the rate case that are not detailed in the testimony?

A. Yes.

Q. Please provide the project name and its associated capital and O&M funding request.

A. The project names are as follows:

**Enterprise Geographic Information System (eGIS) Implementation Phase 3** (Exhibit IT-6) The total capital funding request is $43.3 million in RY1.

**Control Center Resiliency Phase 2** (Exhibit IT-6) The total capital funding request is $16.46 million: $6.29 million in RY1, $4.42 million in RY2, and $5.75 million in RY3. The total incremental O&M spending request is $3.97 million: $3.1 million in RY1, $3.37 million in RY2 and ($2.5) million in RY3.

**DECC SCADA(CDMS) Upgrade 2026** (Exhibit IT-6) The total capital funding request is $9.55 million: $4.65 million in RY1, $4.15 million in RY2 and $0.75 million in RY3. The total incremental O&M request is $1.96 million: $1.5 million in RY2 and $0.46 million in RY3.

**Gas IT Projects-GOSS and Gas Application and Hardware Upgrade** (Exhibit IT-6) The total capital funding request is $5.10 million: $3.0 million in RY1, $1.4M in RY2 and $.70 million in RY3. The total incremental O&M request is $0.75 million: $0.25 million in RY1, and $0.50 million in RY2.

**IT OT Tower Sustainability** (Exhibit IT-6) The total capital funding request is $13.66 million: $4.11 million in RY1, $4.23 million in RY2 and $5.32 million in RY3. The total incremental O&M request is $0.70 million: $0.30 million in each of RY1-RY2, and $0.10 million in RY3.

**IT System Testing COE** (Exhibit IT-6) The total capital funding request is $53.47 million: $20.26 million in RY1, $16.35 million in RY2 and $16.86 million in RY3. The total incremental O&M spending request is $0.44 million: $0.04 million in RY1, $0.41 million in RY2 and ($0.01) million in RY3.

**OpNet** (Exhibit IT-6) The total capital funding request is $30.66 million: $15.93 million in RY1, $8.63 million in RY2 and $6.1 million in RY3. The total incremental O&M spending request is $0.8 million: $0.76 million in RY1, and $0.04 million in RY2.

**Storm Response Technology Advancements** (Exhibit IT-6) The total capital funding request is $17.99 million: $9.3 million in RY1, $5.79 million in RY2 and $2.9 million in RY3. The total incremental O&M spending request is $1.2 million: $0.10 million in RY1, $0.45 million in RY2 and $0.65 million in RY3.

**Transforming Outage Management with Advanced AMI Integrations** (Exhibit IT-6) The total capital request is $35.91 million: $6.51 million in RY1, $6.93 million in RY2, and $22.47 million in RY3. The total incremental O&M request is $0.02 million in RY1.

**AMI Systems Sustainability Program** (Exhibit IT-6) The total capital request is $38.9 million: $21.9 million in RY1, $10.9 million in RY2, and $6.1 million in RY3. The total incremental O&M request is $6.96 million: $5.1 million in RY1, $1.0 million in RY2 and $0.86 million in RY3.

**AMI Communication Network Steady-State** (Exhibit IT-6) The total capital funding request is $8.37 million: $2.83 million in RY1, $2.77 million in each of RY2-RY3.

## CORE APPLICATIONS

Q. What is meant by "Core" application projects?

A. Though these can be many things, our Core applications projects focus on those enterprise-wide systems used by many employees.

Q. What projects will you discuss under the Core Application category.

A. The Core Application category projects or programs are:

- Work and Asset Management Platforms
    - Maximo Consolidation Program - Phase 2

- Electric – CGI ARM Replacement
- Finance and Supply Chain Transformation Project
- Fixed Asset and Tax Accounting Transformation

## Work and Asset Management Platforms

Q. Please explain the Work and Asset Management portfolio.

A. The Work and Asset Management (WAMS) portfolio consists of multiple systems and two major vendor platforms: CGI's Asset Resource Management (ARM) platform and IBM Maximo platforms. A WAMS platform manages all aspects of our field assets (e.g., transformers, gas mains) and associated work such as: scheduling, dispatching and maintenance inspections. As discussed in the 2022 rate case, we developed a comprehensive roadmap to consolidate all WAMS systems into "One Enterprise" Maximo platform.

Q. What work have you done in this area?

A. Under funding in the current rate plan, we migrated 14 systems into the Maximo WAMS platform and 11 systems are on-target by the end of 2025.

Q. What work are you planning for 2026-2028?

A. We are requesting $155 million for the portfolio. Eight major projects account for 78 percent of the requested $155 million. See Figure 1 in WMS Exhibit IT-11 for the overall Maximo roadmap.

Q. If this work is completed by 2028, what WAMS work remains?

A. Migration of Electric and Gas Work Management Systems to Maximo and ongoing support required for the existing Maximo application.

Q. Please discuss the larger projects that make up the Work and Asset Management portfolio.

A. We will discuss two of these projects. First, Maximo Consolidation Program Phase 2 will migrate various applications used by different departments into the Maximo platform. Second, we will migrate the Electric Distribution WAMS to the Maximo platform.
The other projects are described in Exhibit IT-11.

Q. Please discuss **Maximo Consolidation Project Phase 2**.

A. Having all Work and Asset Management applications moved into a consolidated solution enables Con Edison to realize the synergies of a true enterprise solution. These synergies include functions associated with asset management life cycle, migrating paper forms used by field forces for time reporting and automating accounting-related work for distribution and transmission assets.

Q. How many systems will be migrated in 2026-2028?

A. We will migrate 14 legacy (separate from the Electric Distribution WAMS) applications to Maximo. Some examples

include: Substation Mobile Project, Information Resources Inventory System Mobile Project, Environment Health and Safety (EH&S) Key Performance Indicator System Project, EH&S Design, and Cable and Reels Bar Code Scanning implementation.

Q. What type of work is associated with migrating from the legacy system into the common platform?

A. The work will follow the software development life cycle. The team will conduct workshops to design how the existing functions will work in Maximo, convert legacy data, etc. The business team will test to accept the new design before deploying for use by the business.

Q. What capital funding is requested for the Maximo Consolidation Program - Phase 2 project?

A. The capital funding requested is $36.3 million: $13.3 million in RY1, $12.7 million in RY2, and $10.3 million in RY3.

Q. What, if any, incremental O&M spending is required for the Maximo Consolidation Program - Phase 2 project during the 2026-2028 period?

A. There is a total incremental O&M spending of $1.55 million: $1.5 million in RY1 and $0.05 million RY2 for this project in 2026-2028.

Q. Please describe the other large WAMS project, **Electric – CGI ARM Replacement Project.**

A. This project will migrate the current Electric Operations' Work and Asset Management system to IBM's Maximo platform. The platform manages our field assets (e.g., transformers) and associated work such as: scheduling, dispatching and maintenance inspections. We continue to experience technical challenges with the existing vendor, increasing our risk to support this platform.

Q. Please continue.

A. The current vendor's failure to meet product roadmap deliverables demonstrates a lack of investment. They have not upgraded their legacy technology or added new functions like iOS support, Intelligent Asset Management, or AI insights, which their competitor Maximo has implemented.

Q. What is the justification for this project?

A. This project is consistent with IT's strategy of moving to a "One Enterprise" Work and Asset Management solution for all Con Edison's business areas.

Q. Does the Company forecast additional capital for the Electric ARM replacement project beyond 2028?

A. Yes, the Electric - ARM Replacement Project will begin in 2026 and continue until 2030.

Q. Why is the project taking five years to implement?

A. The first two years of the project will develop a common design with O&R and foundational building blocks (e.g., Compatible Unit library, process standardization, asset accounting, etc.) for a Distribution system.

Q. What capital funding is requested for the Electric – ARM Replacement project during 2026-2028?

A. The capital funding required for this project is $2 million in each of RY1 and RY2, and $12 million in RY3. Additional funding will be requested in successive rate cases.

## Finance and Supply Chain Transformation Project

Q. Please describe the Finance and Supply Chain Transformation project.

A. This project will move the Company's Enterprise Resource Planning (ERP) systems to the Cloud. As part of this move, the project will overhaul our Finance and Supply Chain operations.

Q. How will this move overhaul Finance and Supply Chain operations?

A. The process of moving the Company's ERP systems involves comprehensively reviewing existing systems and operational processes to accept built-in "best practices" and minimize customizations.

Q. Why is the Company undertaking this project?

A. There are two primary reasons. First, Oracle will no longer support the existing on-premises EBS (12.2.X) after 2034. Although this is years away, we estimate that this migration is a three-year project and will avoid a non-cloud platform upgrade.

Second, Oracle products will strengthen cybersecurity through frequent security updates and improve organizational security by providing a robust framework with access controls, identity management, encryption, data masking, and redaction.

Q. What are the benefits of this project?

A. Benefits include process efficiencies through AI and enterprise integration, as the Company has already transitioned other key systems to Oracle Cloud, including Budgeting and Forecasting, Business Intelligence, Human Capital Management, and Project Management (Primavera).

Q. What level of capital funding is requested for this project during the rate years?

A. We are proposing a total capital investment of $312.2 million: $130.5 million in RY1, $135 million in RY2, and $46.7 million in RY3.

Q. What is this capital funding needed for?

A. This capital funding is needed for design, development, and testing of the new Oracle Cloud system, which will include more than 500 integrations across more than 40 systems.

Q. Is the Company requesting incremental O&M funding to support this project during the rate years?

A. Yes. We are requesting a total incremental O&M spending of $1.921 million: $0.104 million in RY1, and $0.017 million in RY2, and $1.8 million in RY3 for additional subscription fees and support costs.

Q. Are there any other projects associated with Finance and Supply Chain Transformation?

A. Yes. There are two projects: the **Supply Chain-Stores Space Optimization** project and the **Fixed Asset and Tax Accounting Transformation** project.

Q. Please explain the Supply Chain Stores Space Optimization project.

A. This overall space optimization project, explained by the Shared Services Panel, will optimize the Company's existing warehouse and storerooms, maximizing storage capacity. The transformation will include warehouse modernization, which will be enabled by the new product and is considered an IT project.

## Fixed Asset and Tax Accounting Transformation

Q. Please explain the current proposal for the Fixed Asset and Tax Accounting Transformation project.

A. This project will implement process and technology improvements related to the "acquire to retire" financial cycle for utility assets. The scope of this effort includes fixed asset accounting, book depreciation, tax depreciation, lease accounting, tax repairs, deferred taxes, tax provision, and property taxes.

Q. Why is the Company proposing the Fixed Asset and Tax Accounting Transformation project?

A. Currently, there are several issues: we have legacy systems for these process that are less then optimal, and other vendors systems are expected to sunset support. Then, we are seeing a trend of new systems that provide an end-to-end process.

As part of the project, the Company will detail our requirements for the technology to support the in-scope processes, evaluate available system solutions, and then design and implement the new end-to-end solution.

Q. What are the benefits of this project?

A. The volume of traditional utility investments is growing and the complexity of new types of utility investments is also increasing. All this capital activity needs to be accurately accounted for on the financial statements.

This new system, combined with streamlined and standard integration with other systems (e.g., Stores and Financial systems) will streamline the month-end closing cycle, reduce data anomalies, improve system reliance, and eliminate one-off legacy customizations

Q. What capital funding is requested for the Fixed Asset and Tax Accounting Transformation project in 2026-2028?

A. The capital funding requested is $25.7 million in RY1, $25.8 million in RY2 and $13.1 million in RY3.

Q. What, if any, incremental O&M spending is required for this project during the 2026-2028 period?

A. The incremental O&M funding requested is $0.6 million in RY1, $0.3 million in RY2 and $0.3 million in RY3.

## Other Core Application

Q. Are there any other projects or programs included in the rate case that are not detailed in the testimony?

A. The project names are as follows:

**Learn, Talent Management & Compensation Replacement Project** (Exhibit IT-7) The total capital request is $31.5 million: $23.7 million in RY1 and $7.8 million in RY2. The total incremental O&M requested is $0.9 million: $0.28 million in RY1, $0.24 million in RY2 and $0.38 million in RY3.

**The Employee Hub System Improvements** (Exhibit IT-7) The total capital request is $20.7 million: $6.0 million in RY1, $8.0 million in RY2 and $6.7 million in RY3. The total incremental O&M request is $0.5 million: $0.243 million in RY1 and $0.253 million in RY2.

**Gas Digital As-Building** (Exhibit IT-7) The total capital request is $20 million: $5.8 million in RY1, $6.2 million in RY2, and $8.0 million in RY3. The total incremental O&M request is $0.395 million: $0.0350 in RY1 and $0.045 million in RY2.

**Connected Vehicles - Enterprise Vehicle Telematics** (Exhibit IT-7) The total capital request is $17.89 million: $17.8 million in RY1 and $0.09 million in RY2. The total incremental O&M request is $0.1 million: $0.04 million in RY2 and $0.06 million in RY3.

**Work Management Mobility** (Exhibit IT-7) The total capital request is $15 million: $5.0 million in each of RY1-RY3. The total incremental O&M request is $0.38 million in RY1.

**Integrated Workplace Management System Replacement** (Exhibit IT-7) The total capital request is $13.5 million: $2 million in RY1, $5.7 million in RY2 and $5.8 million in RY3. The total incremental O&M request is $0.08 million in RY3.

**Replacement of Legal Technology** (Exhibit IT-7) The total capital request is $10.9 million: $5.2 million in RY1, $3.3 million in RY2 and $ 2.4 million in RY3. The total incremental O&M request is $1 million: $0.16 million in RY1, $0.62 million in RY2 and $0.22 million RY3.

**WMS Exadata Hardware Upgrade To Avoid Tech Debt** (Exhibit IT-7) The total capital funding request is $11.2 million: $7.6 million in RY1, and $3.6 million in RY2.

**Electric WMS - Open Grid Field Implementation** (Exhibit IT-7) The total capital request is $8.1 million: $4.6 million in RY1 and $3.5M in RY2.

**Outage Scheduling System (OSS) Replacement** (Exhibit IT-7) The total capital request is $7.6 million: $4.7 million in RY1, $1.7 million in RY2, and $1.2 million in RY3.

**Employee Data Warehouse (EDW) to Autonomous Data Warehouse (ADW) Project** (Exhibit IT-7) The total capital request is $7.3 million in RY1.

**Maximo New Functionality & Sustainability** (Exhibit IT-7) The total capital request is $7.1 million: $2.3 million in RY1, $2.4 million in RY2 and RY3.

**WMS Sustainability Project - Phase 3** (Exhibit IT-7) The total capital request is $6.9 million: $2.3 million in each of RY1 through in RY3.

**Budget System Enhancements** (Exhibit IT-7) The total capital request is $4.5 million: $1.5 million in each of RY1 through RY3.

**Fleet Management Program** (Exhibit IT-7) The total capital request is $5.55 million: $2.1 million in RY1, $3.3 million in RY2, $0.15 million in RY3. The total incremental O&M request is $0.14 million: $0.015 million in RY1 and $0.125 million in RY2.

**Substation Technology Improvements** (Exhibit IT-7) The total capital request is $5 million: $2.5 million in RY1 and RY2.

**Rapid Restore Re-architecture** (Exhibit IT-7) The total capital request is $4.84 million: $3.2 million in RY1, $1.4 million in RY2, and $0.24 million in RY3.

**Service Line Inspection GIS Routing & Traceability** (Exhibit IT-7) The total capital request is $4 million: $2 million in RY1 and RY2.

**L&I Digital Learning** Transformation (Exhibit 7) The total capital request is $3 million: $1.5 million in capital for each of RY1 and RY2. The total incremental O&M spending requested is $0.6 million: $0.2 million in each of RY1 through RY3.

**Fraud Data Analytics Platform** (Exhibit IT-7) The total capital request is $2.5 million: $1.7 million in RY1, $0.13 million in RY2, $.67 million in RY3. The total incremental O&M request is $0.31 million: $0.265 million in RY1 and $0.045 million in RY2.

**AutoCAD Phase 2 (Engineering Software & Equipment Upgrade)** (Exhibit IT-7) The total capital request is $1.65 million: $.55 million in each of RY1 through RY3.

**Obsolete Oracle GRC Software Replacement and Enterprise Segregation of Duties (SoD) Tool** (Exhibit IT-7) The total capital request is $1.15 million: $0.36 million in RY1, $0.37 million in RY2 and $0.42 million in RY3.

**Service Line Inspection Program Customer Communication Automation** (Exhibit IT-7) The total capital request is $1.5 million in RY1. The total incremental O&M request is $0.3 million in RY2.

**Construction Technology Improvements** (Exhibit IT-7) The total capital funding request is $1.5 million: $0.50 million in each of RY1 through RY3. There is no incremental O&M spending requested during the rate case years.

**Transmission Pipeline Integrity Information Management System (PIIMS) Replacement** (Exhibit IT-7) The total capital request is $1 million: $0.50 million in RY1 and RY2. The total incremental O&M request is $0.018 million: $0.009 million in each of RY2 and RY3.

**Increased Computing Capability for Clean Energy Analytics** (Exhibit IT-7) The total capital request is $0.49 million in RY1. The total incremental O&M spending requested is $0.008 million: $0.0025 million in each of RY1-RY3.

**Operations Battery Monitoring Systems** (Exhibit IT-7) The total capital request is $0.68 million: $0.34 million in each of RY1 and RY2.

**Integration of virtual reality into Substation Operating Orders** (Exhibit 7) The total capital request is $0.5 million in RY1.

**Central Operations Tableau to Power Bi Migration** (Exhibit IT-7) The total capital request is $0.5 million in RY1.

**EH&S Control Desk Application** (Exhibit 7) The total capital request is $0.5 million: $0.5 million in RY1. The total incremental O&M request is $0.05 million: $0.05 million in RY2.

**Wiring and Raceway System (WARS) Replacement** (Exhibit 7) The total capital request is $0.4 million in RY1.

**Environmental Management System** (Exhibit 7) The total capital request is $0.35 million in RY1. The total incremental O&M request is $0.15 million in RY2.

**EH&S Navigator AI Search Tool** (Exhibit 7) The total capital request is $0.3 million in RY1. The total incremental O&M request is $0.05 million in RY2.

**Tech Modernization for PEGA Applications** (Exhibit 7) The total capital request is $39.64 million: $13.23 million for RY1 and RY2, and $13.18 in RY3. The total incremental O&M request is $0.62 million: $0.42 million RY1 and $0.10 million in each of RY2 and RY3.

**CPMS Customer Data Self-Service and Data Governance and Compliance Modernization** (Exhibit 7) The total capital request is $22.5 million: $11.1 million in RY1, $9.9 million in RY2, and $1.5 million in RY3. The total incremental O&M request is $2.167 million in RY 1.

**Migration to Cloud, Version Upgrade, and Enhancements for the FIS Gas Transaction System** (Exhibit 7) The total capital funding request is $7.38 million: $3.98 million in RY2 and $3.4 million in RY3. Incremental O&M identified in Exhibit IT-7.

**Transportation Customer Information System (TCIS) Reporting and Infrastructure Enhancements** (Exhibit 7) The total capital request is $4.3 million: $1.7 million in RY1, $1.8 million in RY2 and $0.8 million in RY3. Incremental O&M identified in Exhibit IT-7.

**Rate Case Enhancements** (Exhibit 7) The total capital request is $2.25 million: $0.75 million in each of RY1 through RY3.

**FIS GTS Version Upgrade and Enhancements** (Exhibit 7) The total capital request is $2.05 million in RY1. Incremental O&M identified in Exhibit IT-7.

**FPET (Field Programable Electronic Terminal) Migration** (Exhibit 7) The total capital request is $3.47 million: $2.4 million in RY1 and $1.07 million in RY2.

**Transmission Owners Data Reporting System (TODRS) Market Demand Enhancements** (Exhibit 7) The total capital request is $2.75 million: $1.04 million in RY1, $0.85 million in RY2 and $0.86 million in RY3. Incremental O&M identified in Exhibit IT-7.

**ISO Revenue Metering Enhancements to PCI Adapting to Market Changes** (Exhibit 7) The total capital request is $2.6 million: $1.4 million in RY1 and $1.2 million in RY2. Incremental O&M identified in Exhibit IT-7.

**MetrixIDR Upgrade for Enhanced Functionality and Support Compliance** (Exhibit 7) The total capital request is $0.61 million: $0.61 million in RY3.

**Material Management Inventory Upgrades for Contractor Yards** (Exhibit IT-7) The capital request is $3.6 million: $1.8 million in RY1 and RY 2.

**Adapt2 Battery Storage Scalability Enhancements** (Exhibit 7) The total capital request is $0.7 million: $0.7 million in RY1. Incremental O&M identified in Exhibit IT-7.

## CORE INFRASTRUCTURE

Q. Please explain what is meant by Core infrastructure.

A. Our systems and networks are built on foundational infrastructure. They are the cement for the house, the "foundation" that holds the systems together. Foundational IT Infrastructure includes investments in hardware and software to support data centers, cloud, colocation facilities and networks. It also includes the assets needed to run and house systems, such as: real estate for data centers, HVAC, and UPS equipment as well as networking equipment, such as routers and switches.

Q. What are the important core infrastructure projects and programs the Company is proposing?

A. These projects and programs are:

- XM-8 and XM-10
- CCTN

- Technology Modernization
- M365

## XM-8 and XM-10

Q. Please explain XM-8 and XM-10 investments.

A. XM-8 and XM-10 are two general equipment categories. (See Shared Services Panel for other General Equipment categories). IT manages and purchases the XM-8 and XM-10 equipment used throughout the Company.

XM-8 provides communications equipment to support Company telephone networks including voice over IP (VoIP), radio systems, wireless modems, telecommunication equipment for voice circuits, and conference room collaboration equipment.

XM-10 provides critical computing components including firewalls, servers and storage, PCs, printers, tablets, laptops, mainframe, internet-facing technology improvements to allow remote access, network equipment (Local Area Networks (LANs), Wide Area Networks (WANs) and Wi-Fi). Technology upgrades are required to provide a reliable and accessible environment for critical resources located in data centers and support growth.

Q. What benefits do XM-8 and XM-10 programs provide?

A. XM-8 and XM-10 equipment and associated upgrades promote performance and security improvements. The programs under these budgets support:

- Safety – Private wired and wireless communications enable Con Edison to respond to emergency situations and incidents over secure and segmented channels.
- Operational Efficiency – The communication, data computing, and networking infrastructure provides a secure and stable platform for the applications and processes used by the various operating businesses.
- Customer Enablement - The customer-centric applications and voice communication systems used in the customer contact centers.

Q. What capital funding is requested for XM8 and XM10 in 2026-2028?

A. The XM8 request is $18.32 million: $4.98 million in RY1, $6.425million in RY2 and $6.915 million in RY3. The XM10 request is $89.987 million: $32.477 million in RY1, $28.580 million in RY2 and $28.929 million in RY3.

Q. What O&M spending is required for XM8 and XM10 during 2026-2028?

A. The O&M request details are contained in Exhibit IT-8.

## CCTN

Q. Please explain the CCTN project.

A. CCTN is Con Edison's fiber optic network communication system, which securely carries the Company's corporate data, voice, and Supervisory Control and Data Acquisition (SCADA) data. CCTN provides a reliable, secure, and high-speed data network that enables critical locations to communicate. CCTN is comprised of Company-owned fiber optical cables, optical equipment, and radio system backbone network infrastructure components. The Company maintains over 120 locations hosting CCTN components.

Q. Before continuing, please explain the Company's SCADA system.

A. SCADA systems provide visibility and control of the Company's transmission and distribution systems. CCTN is critical to the safe and reliable operation of these systems.

Q. Please describe the CCTN project.

A. The CCTN project replaces older fiber spans and installs new technology and spans as needed to improve reliability, resiliency, and security. Without this foundational network, operational performance of critical communications can be at risk.

Q. What capital funding is requested for CCTN in 2026-2028?

A. The capital request for CCTN in 2026-2028 is $60 million: $20 million in each of RY1 through RY3.

Q. What O&M spending is required for CCTN during 2026-2028?

A. The O&M request details are contained in Exhibit IT-8.

## TECHNOLOGY MODERNIZATION

Q. What is Technology Modernization?

A. Technology modernization updates end-of-life technologies within Con Edison's infrastructure and application portfolio. It involves upgrading obsolete technology, implementing security hardening measures for applications, and modernizing infrastructure hosting options.

Q. Please continue.

A. The IT organization manages over 500 business applications, serving various organizations. As explained herein, applications quickly become out-of-date because of new versions, which traditionally include enhancements, or there is a vulnerability, which must be patched.

Keeping all systems and applications up to date is crucial for operational resilience, as outdated systems pose heightened cybersecurity risks, limit functionality, create production issues, and increase expenses.

Q. What will the Technology Modernization program do?

A. The program addresses the cyclical nature of outdated application technology and implements security hardening measures.

Q. Please explain the benefits of or enhancements from this project.

A. The IT Technology Modernization Program offer several benefits and enhancements:

- Confirm that the latest security measures are in place to protect data and systems from potential threats.
- Keep vendor Support current by updating and patching.
- Increase automation through tools based on artificial intelligence and ML, optimizing IT operations, and enabling quicker responses to operational events.

Q. How will this be handled?

A. The IT Technology Modernization Program will systematically upgrade outdated technology across approximately 165 applications, implementing security hardening measures for about 90 critical applications to fix code vulnerabilities and enhance application integrity and confidentiality, modernize infrastructure hosting platforms, including

investments in new hardware and technologies to build next-generation data centers, increasing automation through the implementation of AIOps (Artificial Intelligence for IT Operations) tools to optimize and improve IT operations.

Q. Who will perform this work?

A. The Site Reliability Engineering (SRE) team will build and sustain resilient infrastructure, enhance operational efficiency, and ensure the high availability of critical services. This dedicated team aims to develop reliable, scalable, and efficient systems.

Q. What capital funding is requested for the IT Technology Modernization Program in 2026-2028?

A. The capital request is $114.3 million: $44.6 in RY1, $34.9 in RY2 and $34.8 million in RY3.

Q. What is the incremental O&M request for the IT Technology Modernization Program during 2026-2028?

A. The total incremental O&M request is $17.342 million: $13.573 in RY1, $3.019 million in RY2, and $0.750 million in RY3.

## MICROSOFT 365

Q. Please describe services received under M365.

A. M365 is the current corporate standard for desktop productivity, collaboration, and security tools software. Its business applications include Outlook, Teams, SharePoint, OneDrive, and other Office products. M365 also includes an advanced suite of security tools, such as Defender and Active Directory, and enhances disaster recovery as applications are accessible from anywhere.

Q. How is the M365 contract structured?

A. We are currently on a five-year renewal cycle with Microsoft with the next renewal scheduled in 2029. Each contract includes significant cost increases for the updated product as well as growth in product adoption.

Q. What capital funding is requested for M365 in 2026-2028?

A. The capital request to meet increased growth is $6 million: $2 million in each of RY1 through RY3.

Q. What is the incremental O&M request for M365 in 2026-2028?

A. The O&M request details are contained in Exhibit IT-8.

## Other Core Infrastructure

Q. Are there other Core Infrastructure projects or programs not included in this testimony?

A. Yes. They are:

**ServiceNow Platform Extension** (Exhibit IT-8) The total capital request is $14.8 million: $1.7 million in RY1, $7.3 million in RY2, $5.8 million in RY3. The total incremental O&M request is $1.55 million: $0.34 million in RY1, $0.66 million in RY2, and $0.55 million in RY3.

**Data Center and LAN Infrastructure Improvements** (Exhibit IT-8) The total capital request is $33.9 million: $4.8 million in RY1, $13.1 million in RY2, $16 million in RY3. Incremental O&M spending is included in Exhibit IT-8.

**End User Computing** (Exhibit IT-8) The total capital request is $2.78 million: $1.08 in RY1, $1.19 in RY2 and $0.51 million in RY3.

**Mainframe Exit – Data Migration of CECONY Applications** (Exhibit IT-8) The total capital request is $2.3 million: $1.3 million in RY1 and $1 million in RY2. The total O&M request is $.25 million in RY3.

**Enterprise Architecture Modernization** (Exhibit IT-8) The total capital request is $1.8 million: $0.6 million in each of RY1 through RY3. The total O&M request is $0.75 million: $0.31 million in RY1, $0.24 million in RY2 and $0.2 million in RY3.

**ENTERPRISE DATA AND ANALYTICS**

Q. What is the final group of projects that will be discussed?

A. Data and Analytics.

Q. What is Data & Analytics?

A. Data & Analytics uses statistical analysis to collect and analyze data, enabling organizations to make informed decisions, and guide strategic decisions.

Q. Does Con Edison have a Data & Analytics program?

A. Yes.

Q. Please describe the Company's Data & Analytics program.

A. Con Edison's Data & Analytics program has two key components: foundational data platform capabilities and strategically aligned business-focused initiatives. This program enhances efficiency, elevates the customer experience, and facilitates data-driven decision-making. The foundational data platform capabilities establish a robust infrastructure for data integration, curation, and governance, while the business-focused initiatives leverage these capabilities to drive targeted outcomes. Together, these elements enable Con Edison to harness the power of data analytics, fostering data driven decision-making and ultimately improving service delivery and organizational performance.

Q. When was the Enterprise Data & Analytics program established?

A. The Enterprise Data & Analytics program started in 2017, when we made foundational investments in the Enterprise Data & Analytics Platform (EDAP). The program has evolved, and we are now implementing a Data and AI Governance program. Business-focused initiatives, aimed at enhancing grid operations, improving customer service, and providing data-driven decision-making, have similarly evolved. We have taken a structured approach to the Enterprise Data & Analytics program that facilitates faster and more complex analyses, ultimately driving improved business outcomes.

Q. Are there **business-focused** initiatives that you would like to explain?

A: One Customer Analytics business-focused initiative achieved is the development of tools aimed at improving customer service by identifying root causes of call volume fluctuations, assessing call performance and coaching opportunities, and evaluating call-handling capacity.

Q: Is there another business-focused initiative you would like to explain?

A: Yes, there are several electric operations programs. First, the Distribution Engineering Grid Mod Analytics

program is comprised of use cases that can enhance asset management and grid operations to enable a reliable and resilient grid.

For example, the Transformer Leakage Predictor Model uses AMI data to better understand equipment patterns, allowing the Company to replace equipment before failure, reducing service interruptions and improving public safety.

Second, through AMI data, the Open Neutral Analytics tool proactively discovers this field condition, allowing the Company to address an open neutral before it is reported or an event occurs, enhancing safety and network reliability.

Finally, the AMI data included in the Open Mains Detection program advises of an open main situation prior to an incident, decreasing both the frequency and duration of outages.

Q. Does Con Edison plan to expand the Data & Analytics program?

A. Yes, Con Edison plans to expand the Data & Analytics program into seven business areas while continuing to invest in the foundational enablers already established (e.g., EDAP).

The seven business areas that the program plans to expand on include:

1. **Customer Data and Analytics:** Improve operational efficiencies and customer experience.
2. **Grid Asset Resilience and Reliability Data and Analytics:** Build on the Company's predictive maintenance program, increasing reliability while enabling focus on the long-term challenges of the changing grid.
3. **Electric Work Management Data and Analytics:** Continue to optimize work management, improving scheduling and dynamic response to changing field conditions.
4. **Forecasting and Planning Data and Analytics:** Support long range planning through tools that optimize the pathway to electrification.
5. **Clean Energy Programs, AMI and DER Data and Analytics:** Deliver analytics solutions that improve the efficacy and adoption of energy efficiency programs.
6. **Gas System Data and Analytics:** Build analytics tools that increase reliability and safety.
7. **Supply Chain Data and Analytics:** Enhance the procurement strategy, achieve cost avoidance opportunities, and improve operational efficiencies throughout the supply chain.

The impact of the business programs can be found detailed in Exhibit IT-10 Figure A: Enterprise Data & Analytics Business Programs.

Q. Does the team stay abreast of industry trends in the data and analytics space?

A. Yes. With the release of generative AI, the data and analytics area has been advancing rapidly. We evaluate advances and focus on optimizing the customer experience, enhancing grid resilience and refining forecasting and planning processes through advances in technology.

Q. What capital and O&M funding is requested for the Enterprise Data & Analytics Business Programs and the associated Foundational Programs during 2026-2028?

A. The total funding request is $237.2 million, where $214.1 million is Capital and $23.1 million is incremental O&M. Below is the breakdown for the seven business areas and the two foundational programs:

**Customer Data and Analytics** (Exhibit IT-9) The total capital request is $35.9 million: $10.1 million in RY1, $13.6 million in RY2 and $12.2 million in RY3. The incremental O&M request is $3.7 million: $1.1 million in RY1, $1.5 million in RY2 and $1.1 million in RY3.

**Asset Reliability & Resilience Data and Analytics** (Exhibit IT-9) The total capital request is $38.3 million: $10.8 million in RY1, $14.5 million in RY2 and $13.0 million in RY3. The incremental O&M request is $3.2 million: $1.0 million in RY1 and RY3, and $1.2 million in RY2.

**Electric Work Management Data and Analytics** (Exhibit IT-9) The total capital request is $21.5 million: $6.1 million in RY1, $8.1 million in RY2 and $7.3 million in RY3. The incremental O&M request is $2.0 million: $0.6 million in RY1 and RY3 and $0.8 million in RY2.

**Forecasting and Planning Data and Analytics** (Exhibit IT-9) The total capital request is $24.0 million: $6.8 million in RY1, $9.0 million in RY2 and $8.2 million in RY3. The incremental O&M request is $1.8 million: $0.6 million in each of RY1 through RY3.

**Clean Energy, AMI and DER Data and Analytics Program** (Exhibit IT-9) The total capital request is $26.4 million: $7.5 million in RY1, $10.0 million in RY2 and $8.9 million in RY3. The incremental O&M request is $2.2 million: $0.8 million in RY1 and RY2, and $0.6 million in RY3.

**Gas System Analytics** (Exhibit IT-9) The total capital request is $13.2 million: $3.7 million in RY1, $5.0 million

in RY2 and $4.5 million in RY3. The incremental O&M request is $1.3 million: $0.3 million in RY1, $0.6 million in RY2 and $0.4 million in RY3.

**Supply Chain Data and Analytics** (Exhibit IT-9) The total capital request is $15.6 million: $4.4 million in RY1, $5.9 million in RY2 and $5.3 million in RY3. The incremental O&M request is $1.4 million: $0.4 million in RY1, $0.6 million in RY2 and $0.3 million in RY3.

**Enterprise Data & Analytics Foundations** (Exhibit IT-9) The total capital request is $27.2 million: $9.6 million in RY1, $9.7 million in RY2 and $7.8 million in RY3. The incremental O&M request is $5.7 million: $2.7 million in RY1, $2.6 million in RY2 and $.4 million in RY3.

**Data and AI Governance** (Exhibit IT-9) The total capital request is $12.0 million: $4.5 million in RY1, $4.0 million in RY2 and $3.5 million in RY3, while the incremental O&M request is $1.8 million: $0.9 million in RY1, $0.4 million in RY2 and $0.6 million in RY3.

Q. Are there any other projects you would like to discuss?

A. Yes, the **Integration Technical Obsolescence** project and **Data Integration Modernization** program.

Q. Please explain the **Integration Technical Obsolescence** project.

A. The Integration Technical Obsolescence project upgrades and modernizes our data integration application. This involves transitioning from Microsoft's BizTalk integration software, which will no longer be supported after 2030, to more modern integration technologies, such as Azure Integration Services. This upgrade will improve the integrity, security, and efficiency of our data and application integrations.

Q. What benefits will the new integration platform offer?

A. The new integration platform offers scalable cloud infrastructure, modern authentication schemes, simplified development tools and automatic updates.

Q. How will this assist the Company?

A. The new integration platform's capabilities will improve the scalability and stability of the integrations, enabling improved resilience during peak customer usage periods.

Q. What is the scope of work for this project?

A. The project involves re-engineering, rebuilding, and re-testing over 1,400 existing integrations currently relying on BizTalk. This transition will adopt modern integration

mechanisms, providing compatibility with future operating systems and enhancing the overall integration process.

Q. What is the estimated timeline and budget for this project?

A. The project is estimated to start on January 1, 2026, and be completed by August 1, 2029. The total funding request for 2026-2028 is $100.2 million in capital: $33.4 million in each of RY1 through RY3. The total incremental O&M request is $13.0 million: $3.0 million in RY1, $4.0 million in RY2, and $6.0 million in RY3.

Q. Is there another project in this area?

A. Yes. The Data Integration Modernization project.

Q. Please describe the **Data Integration Modernization** project.

A. The Data Integration Modernization project enhances our existing data integration capabilities, tools, and infrastructure. This project supports our strategic initiatives, manages substantial data volumes, and meets the growing demand for integrations across the company. It includes developments such as a streaming platform for real-time data ingestion, new data source integrations, and enhancements to the Data Distribution Hub (DDH).

Q. What capital and O&M funding is requested for the **Data Integration Modernization** project in 2026-2028?

A. The capital finding request is $16.5 million: $4.5 million in RY1, $6.5 million in RY2 and $5.5 million in RY3. The incremental O&M request is $2.55 million: $2.5 million in RY1, $0.028 million in RY2 and $.011 million in RY3.

Q. Are there any additional projects in Enterprise Data & Analytics?

A. Yes. There are two projects. They are:

**SharePoint Upgrade** (Exhibit IT-9) The total capital request is $5.4 million: $2.7 million in each of RY1 and RY2.

**Power Platform Governance and COE** (Exhibit IT-9) The total capital request is $5.6 million: $1.6 million in RY1, $2 million in each of RY2 and RY3. The incremental O&M request is $0.8 million: $0.5 million in RY1, $0.2 million in RY2 and $0.1 million in RY3.

Q. Does this complete the Panel's initial testimony?

A. Yes, it does.